全民 Q&M

Dental Group (Singapore) Limited
SGX: QC7

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Top-Down Analysis

ECONOMIC OUTLOOK

Political

- High political stability Bilateral Relations (friend to all for Singapore's own interest)
- Diplomatic response to tariffs diversifying trade partnerships.

Technological

- Leader in smart technology adoption (e.g., AI/Gov tech)
- S$25B invested in tech-driven growth and R&D under the Smart Nation initiative

PESTLE ANALYSIS

Economic

- Real GDP forecast (1–3%)
- Strong Fiscal Policies Budget Surplus of (S$6.4B in FY2024)
- Strong Monetary Policies Low Keeps inflation under control.

Legal

- Transparent regulatory frameworks
- pro-business legal environment

Social

- Ageing population turning 'super-aged' by 2026 with 1 in 4 aged 65+ by 2030.
- Government investing S$3.5B in active ageing initiatives to manage demographic challenges.

Environmental

- Committed to sustainability via Singapore Green Plan 2030 and net-zero by 2050.
- Increase investments in sustainability development

Top-Down Analysis

Healthcare Industry Outlook

Technological Innovation

- Increased adoption of Med Tech and AI in the field of healthcare
- Improve diagnostics, faster and accurate earlier diseases detection and preventative actions

Growing Demand

- An ageing population is driving exponential demand for healthcare services, positioning the sector for long-term stability and expansion.
- Medical Tourism

Government Support

- Government subsidies and spending
- Universal and publicly funded model ensuring affordable, high-quality care.

Resilience to Economic Downturns

- Necessity good, recession-resistant
- Healthcare needed regardless of economic conditions.

Top-Down Analysis

Healthcare

INDUSTRY Porter's 5 Forces

Threat of New Entrants – Low to Moderate

- High capital and regulatory barriers
- Brand loyalty to established providers

Threat of Substitutes – Low

- Healthcare is essential with few viable alternatives for critical or chronic conditions.
- Necessity goods & service

Bargaining Power of Buyers – Low to Moderate

- Individual patients have limited leverage often price takers
- Government subsidies and publicly funded policies Medisave, MediShield, CHAS

Bargaining Power of Suppliers – Middle to High

- Limited alternatives, suppliers of specialized medical equipment and pharma products have pricing power
- Clinics and Hospitals are able to set fee and high costs due consumer's low bargaining power

Competitive Rivalry – Moderate to High

- Intense competition among public and private providers; differentiation by service quality, innovation, and reputation.

Company Analysis

Multiples comparison

Company Name	Multiples			
	EV/Revenue	EV/EBITDA	EV/EBIT	P/E
	LTM	LTM	LTM	LTM
Raffles Medical Group Ltd	2.0x	13.3x	18.0x	28.9x
Econ Healthcare (Asia) Limited	2.1x	12.6x	15.4x	10.5x
Q & M Dental Group (Singapore) L	1.9x	11.7x	14.2x	17.7x

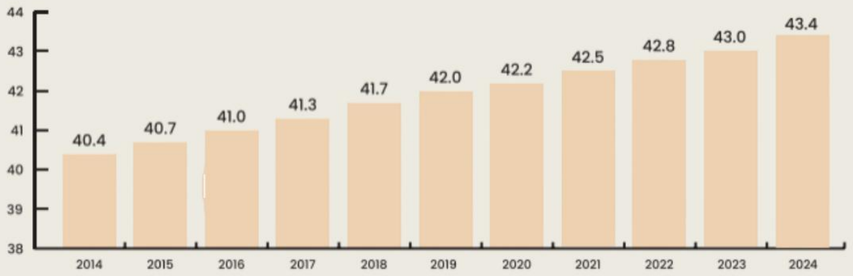
Verdict:

- Q&M is potentially undervalued among its peers for the three EV Multiples
- Q&M's P/E of 17.7x suggests that it is moderately undervalued relative to earnings compared to Raffles at 28.9x.
- Opportunity for stock price appreciation if the company capitalize on growth prospects.
- Advancement in AI technology in the dental industry, supported by an aging population and rising healthcare awareness, offers room for expansion.

Company Analysis

Q&M is Selected

SWOT Analysis



Median age over the Years

Strength

- Large Market share in Singapore
  - Q&M Dental Group dominates 10% of the local market, serving > 300,000 patients,
  - Each at least once or twice a year

Opportunities

- Ageing Population, Super Aged Society, median age 43.4.
- By 2030 1 in 4 adults are 65 or older.
- Strategic location of 100+ clinics island wide, prioritizing access near bus and MRT stops, shopping malls and residential areas

Weakness

- High operational costs
  - Significant expenses that goes into salaries and medical equipment.
  - Active cost cutting measures
    - Consolidation of lab suppliers
    - Closure of underperforming clinics and reduction in employee expense

Threats

- Competitive market both large and smaller independent clinics.
  - Large brand name
  - ESG responsibility started a Charity clinic for underprivileged individuals

Required Rate of Return

Required Rate of Return

WACC is chosen because...

- Financed by almost 50:50 ratio of Debt-to-Equity providers
- Reflects average return required by all capital providers

Hurdle rate adjustments

- Country:
  - SG Mature Economy
- Currency:
  - SGD Strong monetary Policy
- Industry:
  - Healthcare resistant to Economic downturn
- Company projects:
  - Investments into Technology and AI for future growth

	B	C	D
17	**Weighted Average Cost of Capital (WACC)**		
18	**Capital Asset Pricing Model (CAPM)**		*Source:*
19	Risk-free rate (Rf)	2.59%	*Singapore 10Y Government Bond Yield as at 08/04/2025 (Barrons)*
20	^STI 10 year Market return (Rm)	5.13%	*Yahoofinance*
21	Equity risk premium (E(Rm)-Rf)	2.54%	
22	Beta (5Y Monthly)	0.72	*Yahoofinance*
23			
24	**Cost of equity**	**4.42%**	
25			
26	**Cost of Debt**		
27	Credit Default Spread (Synthetic ICR)	1.50%	*Synthetic rating by (Professor XCW)*
28	Pre-tax cost of debt (risk free rate + cds)	4.09%	*Singapore Corporate Tax Rate*
29			
30			
31	Corporate tax rate	17.00%	
32	**After-tax cost of debt**	**3.39%**	
33			
34	**Capital Structure**		
35	Total Debt	115,380	
36	Total Equity	108,507	
37	Market D/E	106.33%	
38	Proportion of equity	51.53%	
39	Proportion of debt	48.47%	
40			
41	**WACC**	**3.92%**	*Justified as the same risk as hurdle rate*

FCFF as a Cash Flow

Cash Flow method

FCFF Is chosen

- Reflects cash flows available to all capital providers, appropriate for valuing the entire firm and shows performance before financing costs.
- Consistent and accurate valuation approach that aligns with WACC
- Ideal for Firms with stable operation, lease and R&D
- Cash and equivalent has been removed to prevent discounting cash by WACC

Free Cash Flow to Firm Calculation 2024	*(S$'000)*	*WORKINGS/ASSUMPTIONS*
Rates		
WACC / Discount rate	3.92%	
Tax rate	17%	
Stable Growth rate (Below GDP)	1.50%	
EBIT	23,560	
EBIT (1 - T): NOPAT	19,555	
Add: Depreciation & Amortization	17,976	
Less: Capital Expenditure	8,104	*Cash removed*
Less: Change in NWC	17,909	
FCFF	11,518	=B10+B11-B13-B12

Valuation of the stock

Single Stage Stable Growth

	A	B	C
2	*Free Cash Flow to Firm Calculation 2024*	(S$'000)	*WORKINGS/ASSUMPTIONS*
3			
4	**Rates**		
5	WACC / Discount rate	3.92%	
7	Stable Growth rate (Below GDP)	1.50%	
15	**FCFF**	11,518	=B10+B11-B13-B12
16			
17	Enterprise / Firm Value (VF,0)	482,589	=B15*(1+B7)/(B5-B7)
18	Market Value of Debt (VD,0)	115,380	
19	Implied Value of Equity (VE,0)	367,209	=B17-B18
20	Cash and marketable securities	34,342	
21	Total Equity and Cash value	401,551	
22	Shares Outstanding	948,925,820	=B19+B20
23	Equity Value Per Share	$ 0.42	=(B21*1000)/B22

$$Value\,of\,firm = \frac{FCFF1}{(WACC - g)}$$

FCFF Valuation Models

Key assumptions and steps in valuation

1. WACC of 3.92% is the required rate of return, reflecting debt and equity financing nature of Q&M
2. Q&M assumed to grow at the stable growth rate of 1.5%. Conservative view (between 1 to 3%).
3. High Growth rate cannot be ascertained due to high economic uncertainty for the future.
4. Corporate Tax rate remains at 17%. Standard for Singapore companies.
5. Leases are already capitalised ensuring that fair representation of Market Value of debt.
6. Relationship between Capital Expenditure and Depreciation is assumed to be consistent assuming stable growth.
7. Cash and Cash equivalents is added back to Total Equity value.

Investment Decision

DBS Stock Rating System

Strong Buy:
- Expected return > 20% in 3 months
- Catalyst identified in same period

Buy:
- Small Caps: > 15% in 12 months
- Large Caps: > 10% in 12 months

Hold:
- Small Caps: -10% to +15%
- Large Caps: -10% to +10% (12 months)

Fully Valued:
- Return < -10% over 12 months

Sell:
- Return < -20% in 3 months
- Catalyst present

STOCK UPSIDE

STRONG BUY RECOMMENDATION:

Implied Equity value per share: $0.42

Stock price (8th April 2025): $0.26

Upside: **62.76%**

Near term catalyst (2 months):

- Q&M will fully acquire its associate company EM2AI by around middle of 2025.
- EM2AI is an emerging MedTech company that provides AI solutions in Dental healthcare
- Enhances Q&M position as a market leader in dental industry

Thank you!